

PayTimePro

Tax Setup, Configuration & Calculator

Administrator User Guide | Philippine Payroll Withholding

Purpose

Use this guide to configure an employee payroll profile, maintain BIR withholding tables, calculate statutory deductions and tax, and interpret annualized results.

Guide at a glance

1. Employee Setup	Define pay basis, salary, frequency, earnings and deductions.
2. Tax Configuration	Maintain effective BIR tables and progressive brackets.
3. Tax Calculator	Calculate SSS, PhilHealth, Pag-IBIG and withholding.
4. Review & controls	Check annualized tax, year-end balance and audit data.

Audience: Payroll administrators, HR managers, finance reviewers and implementation testers.

Version: Prepared August 2026 for the current PayTimePro implementation.

1. Before you begin

Sign in with a role that has Payroll and Tax Configuration permissions. The Administrator role receives full access by default. If a menu item is missing, refresh the page or sign out and back in after permissions change.

Recommended order

Complete Employee Setup first, verify Tax Configuration second, then use the Tax Calculator. The calculator needs both an employee payroll profile and exactly one active tax table matching the pay date and frequency.

Navigation map

Payroll menu	
Payroll > Setup	Employee compensation and recurring payroll items.
Payroll > Tax Configuration	Effective-dated BIR tables and brackets.
Payroll > Tax Calculator	Employee statutory contributions and withholding preview.

Key concepts

Gross compensation is pay before statutory deductions and withholding. **Taxable compensation** excludes qualifying non-taxable pay and employee mandatory contributions. **Withholding tax** is the period tax deducted by the employer. **Annualized tax** reconciles calendar-year taxable compensation against tax already withheld.

2. Configure an employee payroll profile

1

Open Employee Setup

Go to **Payroll > Setup**.

2

Choose an employee

Use the employee list to select the person whose payroll profile you want to configure.

3

Enter compensation

Choose the pay basis and pay frequency, then enter the employee base salary or rate and standard hours per day.

4

Classify recurring items

Add allowances under Recurring Earnings and other deductions under Recurring Deductions. Mark an earning Taxable when it forms part of taxable compensation.

5

Save

Select **Save setup**. The tax calculator cannot run until the payroll profile has been saved.

Compensation fields

Pay basis	Monthly salary, daily rate or hourly rate.
Base salary/rate	Contractual base amount in Philippine pesos.
Pay frequency	Weekly, every two weeks, semi-monthly or monthly.
Tax status	Taxable for normal compensation; exempt only when legally supported.
Effective date	Date the employee payroll arrangement starts.
Taxable earning	Included in compensation subject to withholding.
Non-taxable earning	Excluded only when the benefit has a valid statutory basis.

Important control

Do not mark an allowance non-taxable merely because the company calls it a benefit. Classification must follow BIR rules and applicable limits.

3. Maintain Tax Configuration

1

Open the module

Go to **Payroll > Tax Configuration**.

2

Select an official table

PayTimePro preloads BIR 2023-onward Daily, Weekly, Semi-monthly and Monthly configurations.

3

Review dates and status

Confirm Effective From is January 1, 2023 and the configuration is active. Enter an Effective To date only when a replacement table takes effect.

4

Review brackets

Each row contains a lower limit, upper limit, predetermined base tax and percentage rate on excess.

5

Save carefully

Only one active configuration may overlap a frequency and date range. PayTimePro rejects ambiguous active configurations.

Bracket formula

Taxable compensation	The amount after non-taxable compensation and mandatory employee contributions.
Matching bracket	The row whose lower/upper limits contain taxable compensation.
Formula	Base tax + rate x (taxable compensation - lower limit).
Biweekly payroll	PayTimePro divides compensation by two, applies the weekly table, then multiplies tax by two.

Official tables

Avoid modifying the preloaded BIR tables unless a new BIR issuance requires a replacement. Create an effective-dated configuration instead of overwriting historical rules.

4. Calculate employee withholding

1

Open Tax Calculator

Go to **Payroll > Tax Calculator** and choose an employee.

2

Review tax treatment

Confirm taxable/exempt and Minimum Wage Earner treatment. Employee statutory deductions are calculated from monthly basic salary by the compliance engine.

3

Enter the pay period

Provide Pay Date and any additional taxable or non-taxable compensation.

4

Enter year-to-date values

For annualization, enter taxable compensation and tax already withheld before the current period.

5

Calculate

Select **Calculate withholding**. Review the table name shown with the results.

Automatic employee contributions

SSS	Employee share based on the applicable Monthly Salary Credit; 5% employee share effective January 2025, maximum MSC ₱35,000.
PhilHealth	2.5% employee share of monthly basic salary, using the ₱10,000 floor and ₱100,000 ceiling.
Pag-IBIG	Normally 2% employee share, using the ₱10,000 Maximum Fund Salary ceiling.
Union dues	Added when configured for the employee.

Period basis

Contribution schedules are monthly. For non-monthly payroll, ensure company policy allocates monthly contributions to pay periods consistently and reconciles the full monthly liability.

5. Benefits and special tax treatment

The compliance engine separates taxable and non-taxable portions of benefits when category and year-to-date information are supplied.

Common classifications	
13th month and other benefits	Combined non-taxable ceiling of ■90,000 per calendar year; excess is taxable.
De minimis benefits	Non-taxable only up to the current category ceiling; excess enters taxable supplementary compensation.
Minimum Wage Earner	Statutory minimum wage plus qualified holiday, overtime, night differential and hazard pay are exempt; other taxable compensation remains subject to withholding.
Managerial fringe benefits	May require separate final Fringe Benefit Tax rather than ordinary compensation withholding.
Previous employer	Include current-year taxable compensation and withholding from the prior employer during annualization.

2026 de minimis examples

Selected ceilings under RR 29-2025	
Rice subsidy	■2,500 per month.
Uniform/clothing	■8,000 per year.
Medical assistance	■12,000 per year.
Laundry allowance	■400 per month.
Achievement award	■12,000 per year, subject to plan conditions.
Christmas/anniversary gifts	■6,000 per year.
CBA/productivity incentives	■12,000 combined per year.
Overtime/night meal allowance	Up to 30% of applicable regional basic minimum wage per qualified day.

6. Read and verify the results

Calculator output

Gross compensation	Regular plus supplementary compensation before deductions.
Mandatory contributions	Employee SSS, PhilHealth and Pag-IBIG shares, plus configured union dues.
Taxable compensation	Amount used to locate the BIR bracket.
Withholding this period	Tax that should be deducted for the selected pay period.
Annualized tax	Tax calculated on year-to-date plus current taxable compensation using the annual table.
Year-end balance	Annualized tax less tax already withheld, including the current-period amount.
Configuration	Exact effective BIR table used by the calculation.

Review checklist

1. Confirm the employee, pay date and frequency.
2. Confirm the displayed tax configuration is correct.
3. Compare contribution bases with the monthly basic salary.
4. Confirm non-taxable items have documentary support.
5. Review negative year-end balances as potential refunds and positive balances as potential deficiencies.
6. Investigate warnings for overlapping configurations or managerial fringe benefits.

Do not finalize on preview alone

A preview is a calculation aid. Final payroll should be posted to a payroll run so the calculation snapshot can support reconciliation and reporting.

7. Worked example

Employee: Monthly salary ₪50,000, paid semi-monthly. Current period has no supplementary compensation. Monthly statutory contributions are allocated by company payroll policy.

Illustrative calculation	
Semi-monthly regular compensation	₪25,000.00
Less employee statutory contributions	Use the allocated SSS, PhilHealth and Pag-IBIG shares for this pay period.
Net taxable compensation	Regular compensation less the applicable employee shares and other supported non-taxable amounts.
BIR table	2023 onwards - Semi-monthly.
Withholding formula	Predetermined tax for the matching bracket plus the prescribed rate on excess.

If the employee receives a taxable commission, add it as supplementary compensation. If the employee receives 13th-month pay, enter year-to-date benefit information so only the portion beyond the remaining ₪90,000 ceiling becomes taxable.

Illustration only

Actual withholding depends on the employee contribution allocation, benefits, prior compensation and tax already withheld. Always rely on the calculated values generated from the employee record.

8. Troubleshooting and controls

Message / issue	
No active tax configuration matches	Activate the correct frequency table and confirm the pay date is within its effective range.
Multiple active configurations match	End-date or deactivate the overlapping configuration.
Save payroll setup first	Open Payroll > Setup, complete the employee profile and save.
Unexpected zero withholding	Check tax status, MWE status, compensation classification, mandatory contributions and bracket limits.
Unexpected year-end balance	Verify YTD compensation and tax withheld, including values from a previous employer.
Module missing	Refresh permissions, sign out/in, and confirm role access to Payroll and Tax Configuration.

Operational controls

- Restrict configuration updates to authorized payroll administrators.
- Do not overwrite historical tax tables; use effective dates.
- Retain evidence supporting non-taxable classifications.
- Reconcile payroll-run totals to BIR 1601-C data monthly.
- Reconcile employee annual totals before preparing BIR Form 2316.
- Have a Philippine payroll or tax professional review production rules and filings.

9. Compliance references

This guide reflects the PayTimePro implementation and official rules available as of August 2026.

Primary references	
BIR RR 11-2018	Withholding on compensation, periodic tables, cumulative-average method and annualization.
BIR Annex E	Revised withholding tables effective January 1, 2023 onward.
BIR RR 29-2025	Updated de minimis ceilings effective for 2026.
SSS Circular 2024-006	Contribution schedule effective January 2025.
PhilHealth Advisory 2025-0002	5% total premium, ₱10,000 floor and ₱100,000 ceiling.
Pag-IBIG Circular 460	Maximum Fund Salary increased to ₱10,000 effective February 2024.

Links

BIR: <https://www.bir.gov.ph/>
SSS: <https://www.sss.gov.ph/pay-contribution/>
PhilHealth: <https://www.philhealth.gov.ph/>
Pag-IBIG: <https://www.pagibigfund.gov.ph/>

Legal notice

This operational guide is not legal or tax advice. Statutory rules can change. Verify new issuances and obtain professional review before filing or remitting payroll taxes.

End of guide